

Seed Fundraising Guide

A Step-by-Step Guide to Raising Your Seed Round

Based on Y Combinator's Guide to Seed Fundraising

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1. When to Raise

Signs You're Ready

You should raise when:

- You have a clear vision and can articulate it
- You have some evidence of product-market fit
- You know exactly how you'll use the funds
- You can demonstrate momentum

You should NOT raise when:

- You're desperate for cash
- You have no traction or clear path to traction
- You can bootstrap to the next milestone
- Market conditions are unfavorable

The Ideal Timing

"The best time to raise money is when you don't need it."

Fundraising Timeline:

- Start preparing 2-3 months before you need money
 - Active fundraising takes 2-4 months
 - Always have 6+ months of runway when you start
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2. How Much to Raise

The Goldilocks Principle

Too Little:

- Constant fundraising mode
- Can't execute on plans
- Weak negotiating position

Too Much:

- Excessive dilution
- Pressure to spend
- Higher expectations

Just Right:

- 18-24 months of runway
- Clear milestones to Series A

- Reasonable dilution (15-25%)

Calculating Your Raise

Target Raise = Monthly Burn × 18 months + Growth Buffer

Example:

- Current team: 3 people
- Planned hires: 5 people
- Monthly burn: \$50,000 → \$150,000
- Average burn: \$100,000/month
- Target: \$100K × 18 = \$1.8M
- With buffer: \$2M

Seed Round Benchmarks (2024-2026)

Stage	Amount	Dilution	Valuation
Pre-Seed	250K–1M	10-15%	\$2-5M
Seed	1M–4M	15-25%	\$5-15M
Seed+	3M–6M	15-20%	\$15-30M

3. Financing Options

SAFE (Simple Agreement for Future Equity)

Pros:

- Simple, fast to close
- No interest or maturity date
- Founder-friendly terms
- Standard documents

Cons:

- Dilution unclear until conversion
- Some investors prefer priced rounds
- Can accumulate multiple SAFEs

Key Terms:

- **Valuation Cap:** Maximum valuation for conversion
- **Discount:** Percentage discount to next round price
- **MFN:** Most Favored Nation clause

Convertible Notes

Pros:

- Familiar to traditional investors
- Interest accrues (tax benefit)
- Clear maturity date

Cons:

- More complex than SAFEs
- Interest creates additional dilution
- Maturity date pressure

Key Terms:

- **Interest Rate:** Typically 4-8%
- **Maturity Date:** Usually 18-24 months
- **Conversion Discount:** 15-25%
- **Valuation Cap:** Maximum conversion price

Priced Round (Equity)

Pros:

- Clear valuation and ownership
- Establishes governance

- Preferred by some institutional investors

Cons:

- More expensive (legal fees)
 - Takes longer to close
 - More complex negotiations
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4. Finding Investors

Types of Seed Investors

Type	Check Size	Value Add	Speed
Angels	10K–100K	Varies	Fast
Angel Groups	50K–500K	Network	Medium
Micro VCs	100K–500K	High	Medium
Seed VCs	500K–2M	High	Slower
Accelerators	100K–500K	Very High	Fast

Building Your Investor List

Tier 1: Dream Investors (10-15)

- Perfect fit for your space
- Strong track record
- Can lead the round

Tier 2: Great Fits (20-30)

- Good fit for stage and sector
- Active at seed stage
- Valuable network

Tier 3: Potential Fits (30-50)

- Invest at seed stage
- Some relevant experience
- Worth a conversation

Getting Introductions

Best Sources:

1. Portfolio founders of target investors
2. Other founders they've met with
3. Mutual connections on LinkedIn
4. Accelerator networks
5. Angel investors who know them

Cold Outreach (Last Resort):

- Keep it short (3-4 sentences)
 - Lead with traction
 - Make the ask clear
 - Follow up once
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5. The Pitch

The 30-Second Pitch

"[Company] helps [target customer] [solve problem] by [solution]. We've [traction] and are raising [amount] to [milestone]."

Example:

"Stripe helps developers accept payments online with just a few lines of code. We've processed 1M in transactions and are raising 2M to expand to 10 new countries."

Pitch Deck Structure

Slide 1: Title

- Company name, logo, tagline
- Your name and contact

Slide 2: Problem

- What pain point exists?
- Who experiences it?
- How big is the problem?

Slide 3: Solution

- How do you solve it?
- What's unique about your approach?

Slide 4: Product

- Screenshots or demo
- Key features

Slide 5: Market

- TAM/SAM/SOM
- Market trends

Slide 6: Business Model

- How you make money
- Unit economics

Slide 7: Traction

- Key metrics
- Growth rate
- Notable customers

Slide 8: Team

- Founders' backgrounds
- Why you'll win

Slide 9: Competition

- Competitive landscape
- Your differentiation

Slide 10: Ask

- How much you're raising
- Use of funds
- Key milestones

Common Questions to Prepare

1. Why are you the right team?
 2. What's your unfair advantage?
 3. How will you acquire customers?
 4. What are your unit economics?
 5. Why raise now?
 6. What are the biggest risks?
 7. How did you arrive at your valuation?
 8. What happens if this doesn't work?
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6. Negotiating Terms

Key Terms to Negotiate

Valuation Cap (SAFEs)

- Higher cap = less dilution
- Don't optimize excessively
- Focus on the right partners

Pro-Rata Rights

- Right to maintain ownership %
- Standard for lead investors
- Can limit for smaller checks

Board Seats

- Typically 0 at seed
- If required, keep founder control
- Observer seats as alternative

Information Rights

- Quarterly updates standard
- Annual financials
- Cap table access

What NOT to Negotiate

- Standard SAFE terms
- Minor legal points
- Things that don't matter

“Optimize for speed and good partners, not for the last dollar of valuation.”

Red Flags in Term Sheets

- Participating preferred
 - Full ratchet anti-dilution
 - Excessive board control
 - Unusual vesting requirements
 - Redemption rights
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7. Closing the Round

The Closing Process

Week 1-2: Verbal Commits

- Get verbal commitments
- Confirm amounts
- Discuss timing

Week 3-4: Documentation

- Send SAFE/documents
- Collect signatures
- Answer questions

Week 5-6: Wire Transfers

- Send wire instructions
- Confirm receipt
- Update cap table

Post-Close Checklist

- ☐ Update cap table
- ☐ File 83(b) elections (if applicable)
- ☐ Send investor updates
- ☐ Add investors to communication channels
- ☐ Update company records
- ☐ Celebrate (briefly!)

Investor Updates

Monthly Update Template:

Subject: [Company] - [Month] Update

HIGHLIGHTS

- [Key win #1]
- [Key win #2]
- [Key win #3]

METRICS

- Revenue: \$X (+Y% MoM)
- Users: X (+Y% MoM)
- Burn: \$X/month
- Runway: X months

CHALLENGES

- [Challenge #1]
- [Challenge #2]

ASKS

- [Specific ask #1]
- [Specific ask #2]

Thanks,
[Name]

Key Takeaways

1. **Raise when you have leverage**, not when you're desperate
 2. **Target 18-24 months** of runway
 3. **Use SAFEs** for simplicity and speed
 4. **Build relationships** before you need money
 5. **Practice your pitch** until it's natural
 6. **Focus on the right partners**, not just the highest valuation
 7. **Close quickly** once you have momentum
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Additional Resources

- [Y Combinator SAFE Documents](#)
 - [NVCA Model Documents](#)
 - [Founder's Guide to SAFEs](#)
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This guide is based on publicly available content from Y Combinator.

Source: Y Combinator - <https://www.ycombinator.com/library/4A-a-guide-to-seed-fundraising>